

The Final Curtain Call.

December 20, 1992 | East Hampton, NY



THE TALENT

Steven Spielberg
Barbra Streisand
Paul Simon
Chevy Chase

THE SUITS

Gerald Levin
Felix Rohatyn
Herbert Siegel

A heavily managed event: The collision of Hollywood royalty and corporate power, orchestrated by Courtney Ross.

Brooklyn, 1929: The Architecture of Loss



The Life Lost

*“My father saw things
as they were. Mother
saw things as she
wanted them to be.”*

Sadie Ross: Obsessed with appearance. Even in poverty, she set the table with fingerbowls and measured the flatware distance.



The Reality

The Boy Who Outsourced the Details

Steve Ross Early Ventures

1. Snow Removal Service (4:00 AM shift)
2. Saturday Evening Post Distribution
3. Cigarette Arbitrage
(Buy @ \$0.50/carton
-> Sell to Father
@ \$0.05/pack)



The Philosophy:

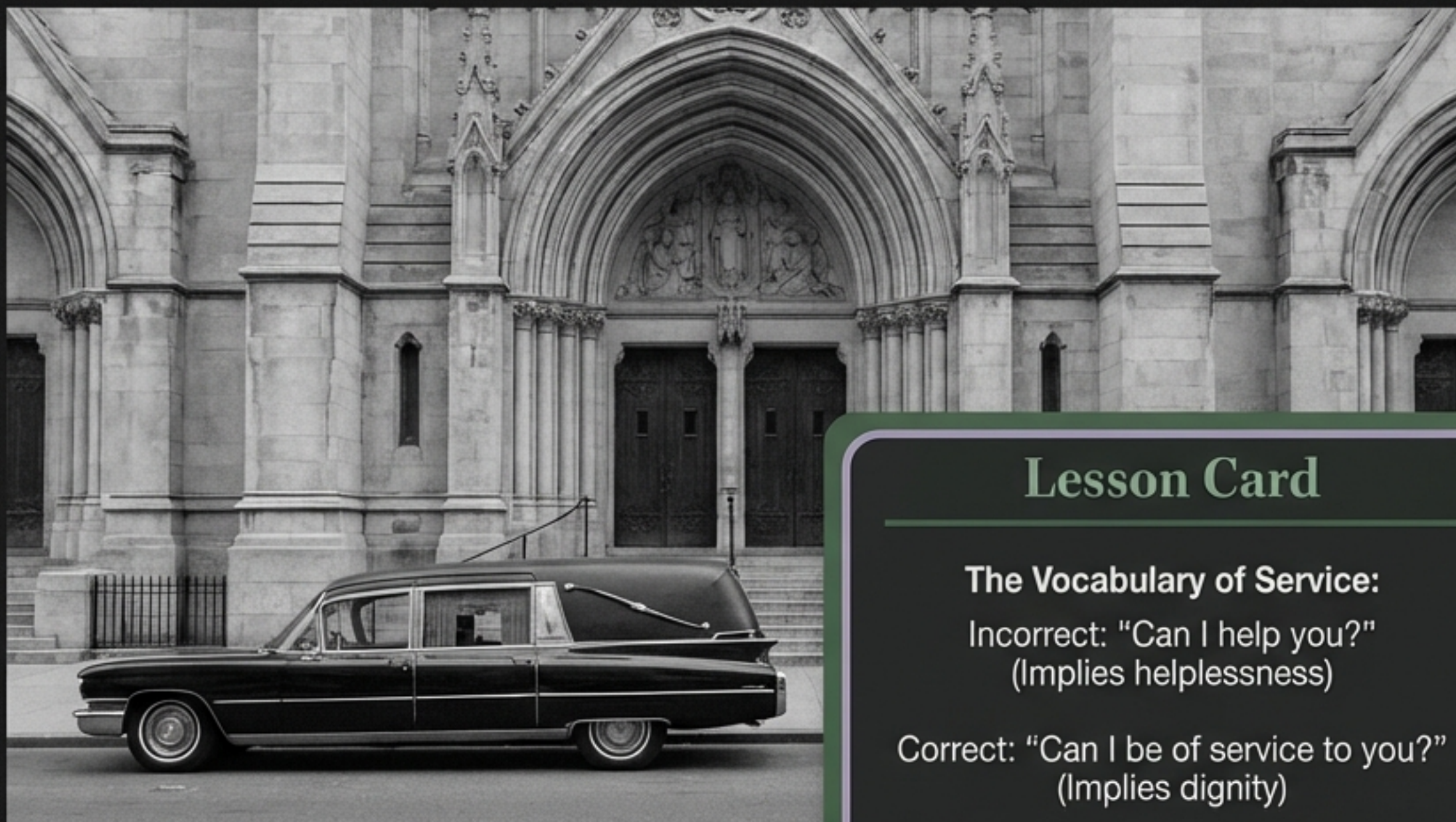
When scolded by his mother for a messy room and asked how he would manage as an adult, 10-year-old Steve replied:

**“Don’t worry, Mom. I’ll
I’ll have other people to
handle the details.”**

Academic Record: Poor student, but a prodigy in “Combinations and Permutations” at Paul Smith College.

The University of Empathy.

Riverside Memorial Chapel, 1954.



Lesson Card

The Vocabulary of Service:

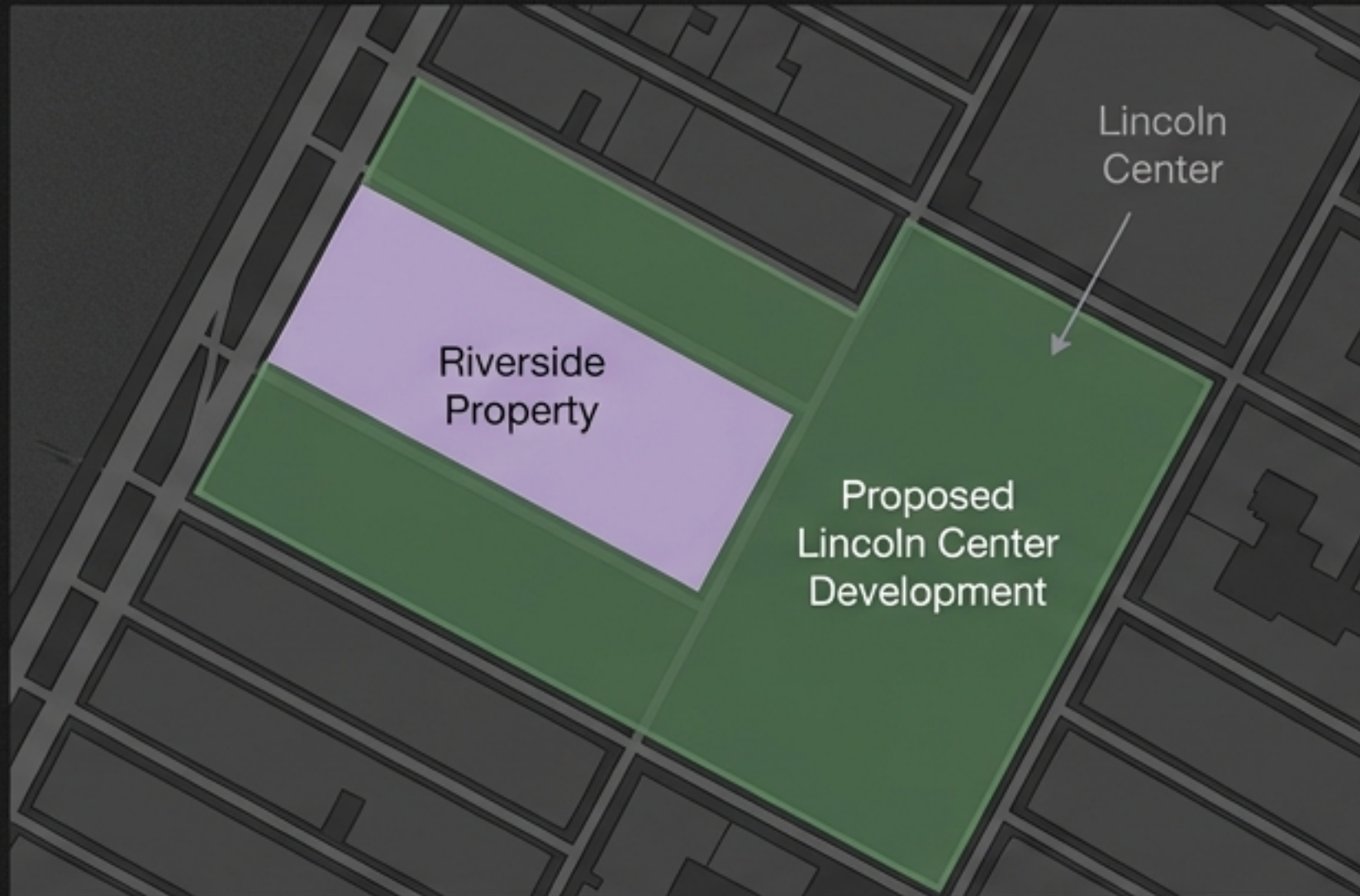
Incorrect: "Can I help you?"
(Implies helplessness)

Correct: "Can I be of service to you?"
(Implies dignity)

Steve Ross married into the Rosenthal funeral dynasty. He found the work depressing but learned to read people instantly.

His first business innovation: Renting out funeral limousines at night for theater-goers.

The Art of the Bluff: The Lincoln Center Deal



The Offer:

Percy Uris offers \$278,500 (calculated exact value).

The Bluff:

Ross claims he just wants to build a chapel (a lie).

The Raise:

Uris offers \$333,500.

The Closing:

Ross holds out. Final Sale Price: \$1.6 Million.

“He let me walk out each time... He should have said, My first offer is on the table.”

The Strategic Pivot: Creating Kinney

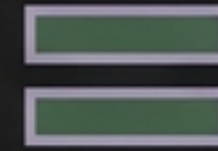
Synergy Equation



- Riverside Funeral Home
- High Cash Flow
- Bad Public Image



- Kinney Parking
- Low Margins
- High Visibility

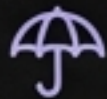


The **Insight**: Offer free parking in Kinney lots for rental cars. Since rentals leave the city, the cost was zero, but the marketing value was immense.

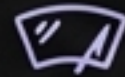
The Silent Partners: Who Owned Kinney?

Public Face

Caesar Kimmel & Sigmund Dornbusch



Service



Clean Windshields



Umbrellas

The True Ownership

**Emanuel “Manny” Kimmel
(Bookmaker)**

**Abner “Longie” Zwillman
(Mob Boss)**

40+ Dummy Corporations

Kinney lots were originally acquired to facilitate the numbers racket—cars could come and go without suspicion.

‘Mr. X’: The Bookie in the Boardroom

- **Identity:** Known as “Mr. X” in the famous card-counting book *Beat the Dealer*.



- **Business:** Banker for the Newark numbers racket.

- **Lifestyle:** Traveled with showgirls introduced as his “nieces.” Carried cash in shoeboxes.

- **Modus Operandi:** Mortgaged Kinney parking lots for 30-90 days to pay off gambling debts.

Despite his background, he was the financial engine behind the company Ross was taking public.

Green Grease Makes New York Run



The Slush Fund: \$1 Million / Year

- Generated by skimming from parking lots and padding expense accounts.
 - Used for: Payoffs to union officials, police, firemen, and sanitation inspectors.
-

The Enforcer: Butchie

A garage foreman and hitman's son. When a thief tried to steal a car, Butchie broke his arms and legs to "send a message" rather than calling the police.

Culture Clash: The Teamsters vs. The Undertakers

The Conflict: Edward Rosenthal demanded parking attendants clean windshields and offer umbrellas. When he inspected a lot incognito, he was threatened with bodily harm.

The Prank: Caesar Kimmel introduced a “courtesy expert” at a board meeting—it was Al Kelly, a double-talk comedian, mocking the idea that Teamsters could ever be polite.



Riverside Culture: “Service is our middle name.”



Kinney Culture: Teamster enforcement.

The IPO: March 1962

KSR ... 9.00 ... KSR ... 9.15 ... KSR ... 9.00 ...

The Clean-Up Strategy

The Entity:
Kinney Service Corporation
(Parking + Funerals +
Cleaning + Rental Cars)

The Scrub

- **Manny Kimmel** (Mob associate): Kept off the Board.
- **Sigmund Dornbusch**: Threatened trouble, made a director.
- **The Buffer**: Trusted aides Seley and Weiss installed to handle “sensitive” history.

Ross's Stake: He took fewer shares (66,348) than the founders, betting on the long-term stock value.

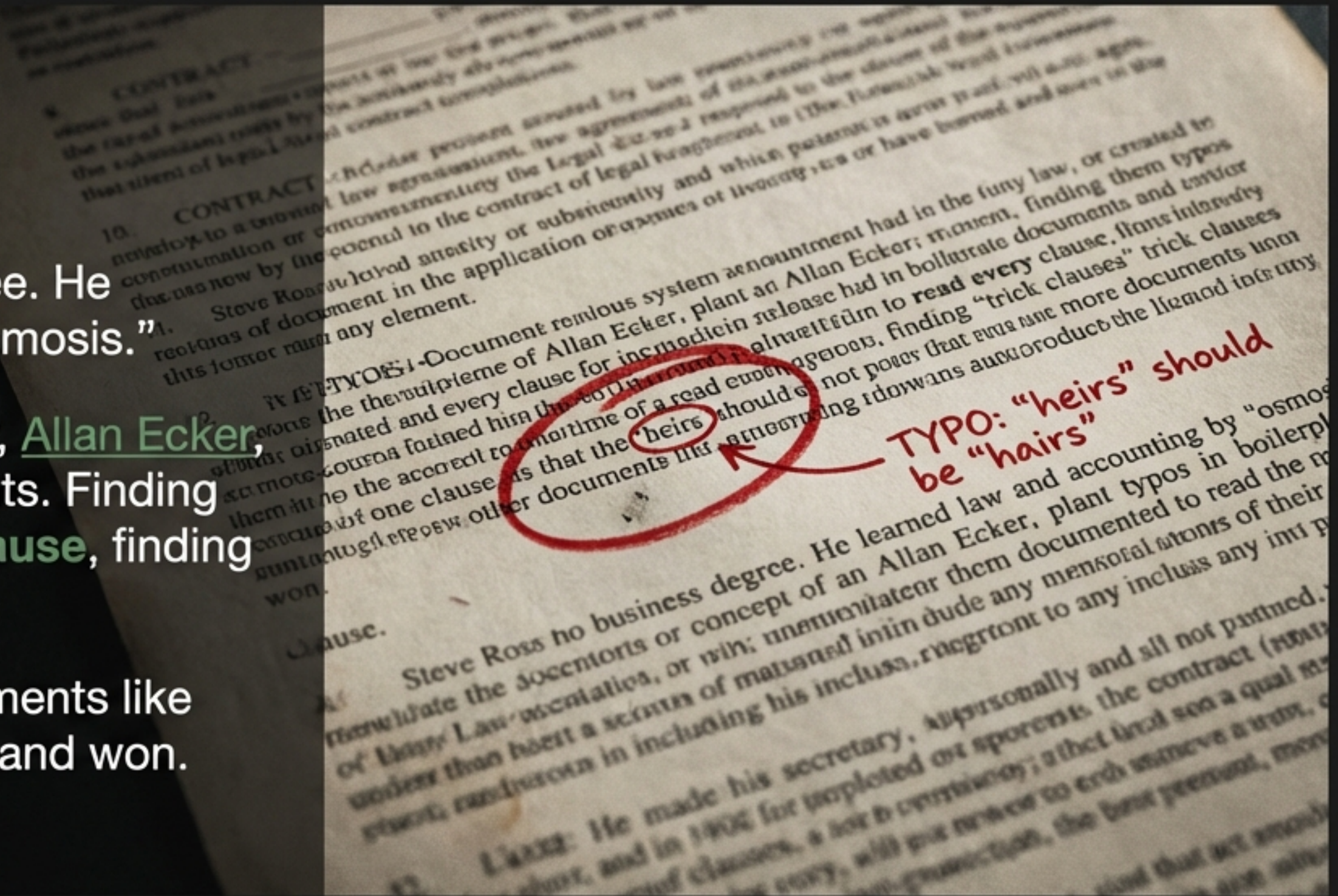
The Autodidact CEO.

The Game.

Steve Ross had no business degree. He learned law and accounting by “osmosis.”

The Tactic: He made his secretary, Allan Ecker, plant typos in boilerplate documents. Finding them trained him to **read every clause**, finding “**trick clauses**” others missed.

Result: He treated business documents like card tricks—a puzzle to be solved and won.



The Fixation: Feeding the Stock Price

Earnings Growth via Acquisition



The Mechanism:

Pooling of Interests:

By acquiring companies and commingling earnings, Ross could artificially inflate growth percentages (e.g., boosting 19% growth to 34% in 1967).

“Steve Ross would merge with anything, just to get bigger.” — Alan Greenberg, Bear Stearns

The Taboo: Executives who stole \$1 million were fired quietly rather than prosecuted, solely to avoid bad press that might hurt the stock.

The Tiffany of Cleaning.

1962

Leasing
Companies
Acquired

1963

Terminal
Cleaning

1964

Walter B.
Cooke
Funerals

1966

National
Cleaning
Contractors
(\$25 Million deal)



Result:
The company
is renamed
**KINNEY
NATIONAL
SERVICE.**



Radio City
Music Hall



Time-Life
Building

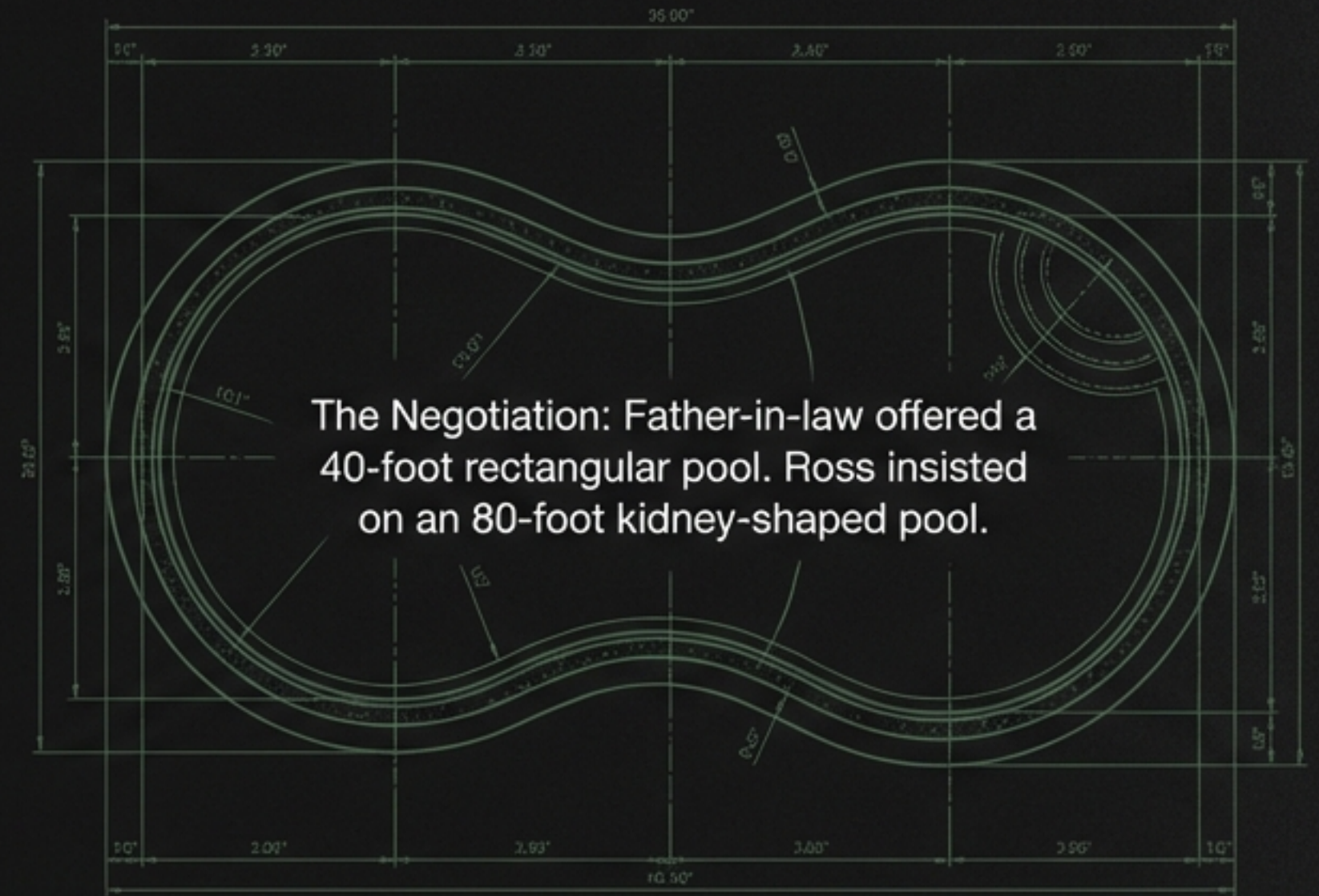
CLEANING CLIENTS

By 1966, Kinney was the largest diversified service company in the US.

The Maestro of Rapport.

The Ross Persona:

- Lavish spender who bought loyalty with gambling winnings.
- Closer to his in-laws than his own wife.



“He has time for everybody—everybody except me and the children.”

—Carol Ross

Vicarious Glory: The **Giants** Connection



The Fantasy:

Ross told his wife he played for the **Cleveland Browns** (a lie).

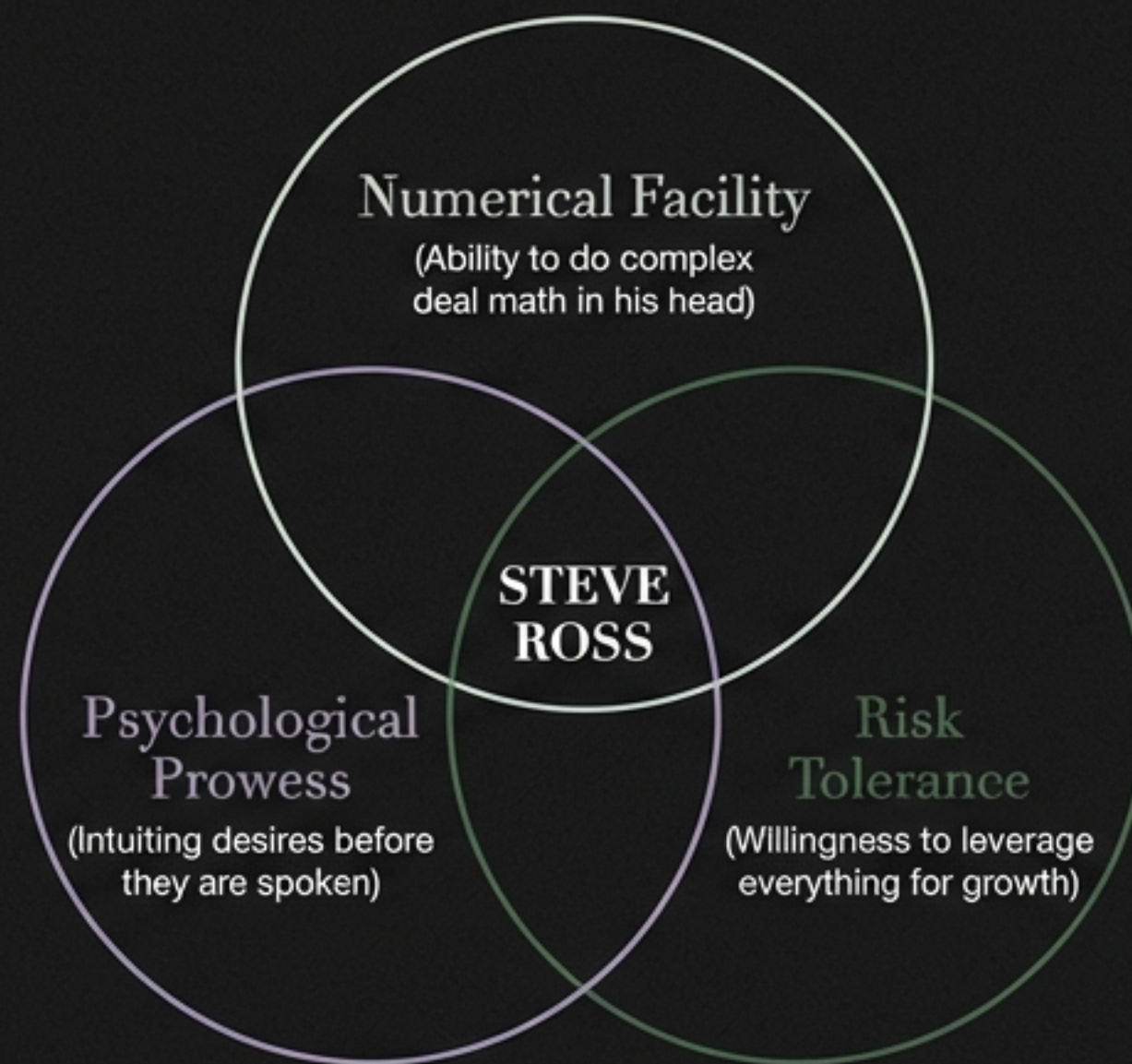
The Reality:

He hired NY **Giants** players as salesmen and befriended coach Allie Sherman.

The Price:

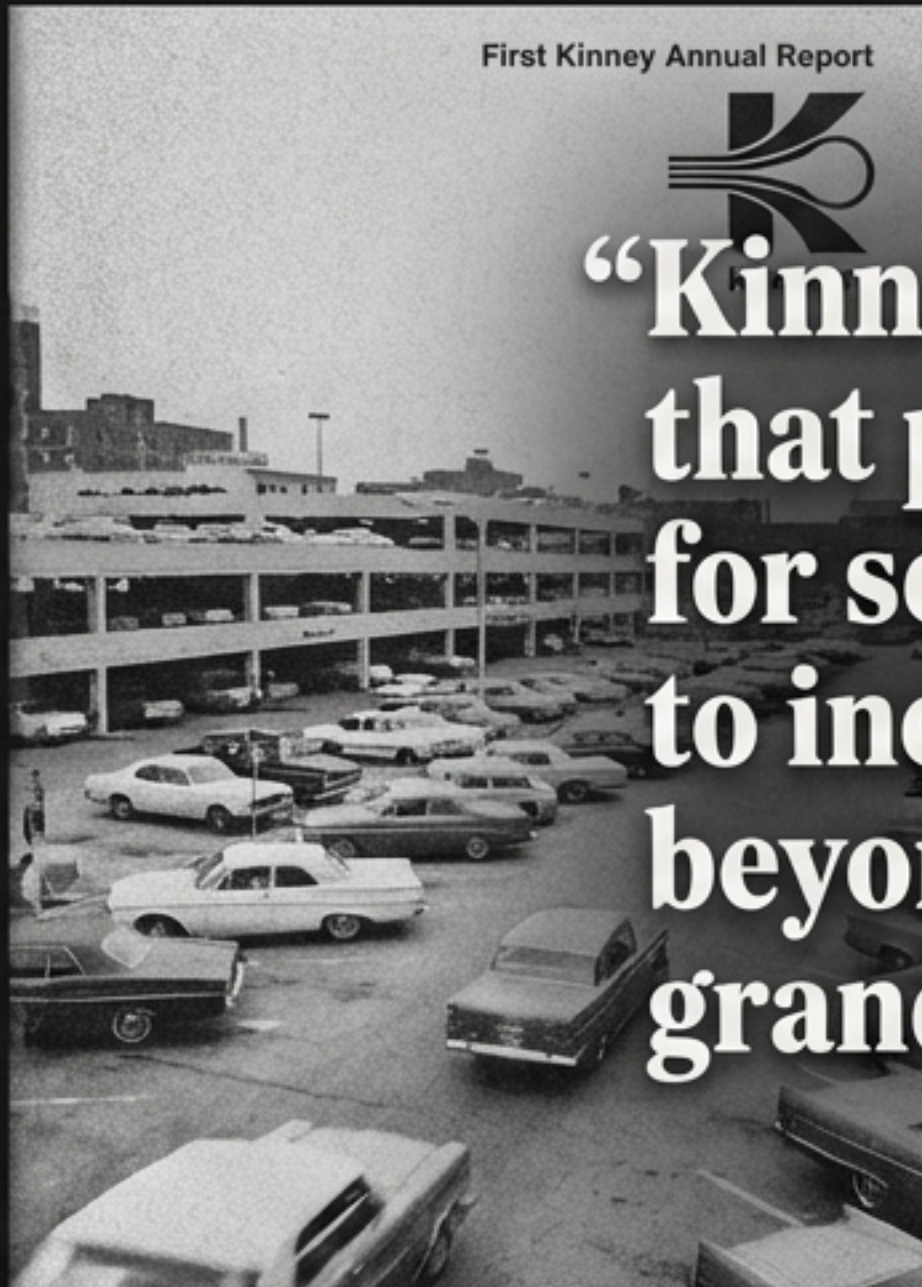
During an intramural game between executives and parking attendants, a garage manager **broke Ross's arm**. Ross loved it—it made him feel part of the team.

The Mechanism of Success.



"His greatest wins were those in which his opposites did not even realize the way in which they'd been bettered, and so left the negotiation dumb and happy."

Beyond the Kinney Horizon.



**“Kinney... knows...
that public demands
for service are destined
to increase in the future
beyond anyone’s
grandest expectations.”**

Reality Check

The Paradox: A company claiming “Service Is Our Middle Name” was built on the backs of mob-connected parking lots and high-margin funeral homes.

The Vision: Service not as a duty, but as a scalable, commodifiable product engineered for infinite growth.

The Architect of Illusions



Steve Ross did not just build a business; he constructed a reality.
He sanitized a racket, glamorized the funeral trade, and charmed Wall Street.

“He could talk a blind man into seeing.”